NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH
COURT NO.1

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, BENGALURU BENCH, BENGALURU, HELD ON 29.10.2018

PRESENT: 1. Hon'ble Member (J) **Shri Rajeswara Rao Vittanala,**
2. Hon'ble Member (T) **Dr. Ashok Kumar Mishra**

CP/CA No.	Purpose	Sec	Name of Petitioner	Petitioner Advocate	Name of Respondent	Respondent Advocate
CP(CAA)No.10 /BB/2018	For pronouncement of order	Sec 230-232	M/s Homag Machinery Bangalore Pvt Ltd	Uday Shankar Associates		ROC B S Venkatanara yana

SL. NO.	NAME (IN CAPITAL) & PHONE NUMBER	REPRESENTATION TO WHOM	SIGNATURE

PETITIONER/s :
JUHI CHANDEL (for Uday Shankar Associates) 9964828179 — Petitioners

RESPONDENT/s :

ORDER

Heard Ms. Juhi Chandel, learned Counsel for Petitioner; CP(CAA) No. 10/BB/2018 is disposed of vide separate order.

MEMBER(T) **MEMBER(J)**

Raushan

IN THE NATIONAL COMPANY LAW TRIBUNAL

BENGALURU BENCH

C.P (CAA) No. 10/BB/2018& C.P (CAA) No.11/BB/2018

U/S 230 to 232 of the Companies Act,

2013**Order Delivered on: 29th October, 2018**

IN THE MATTER OF SCHEME OF AMALGAMATION

BETWEEN

HOMAG MACHINERY BANGALORE PRIVATE LIMITED

AND

HOMAG INDIA PRIVATE LIMITED

Coram: 1. Hon'bleShri Rajeswara Rao Vittanala, Member (Judicial)

2. Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

HOMAG Machinery Bangalore Private Limited
#7/6, Veerananjipura Grama,
Kasaba Hobli, Nelamanagala TQ,
Bengaluru Rural-562123 - **Transferor Company**

HOMAG India Private Limited
#88, Industrial Suburb, II Stage,
Tumkur Road, Bengaluru-560022 - **Transferee Company**

Parties Present : Mr. Uday Shankar Associates
Fortune Chambers, 1st Floor, No.8,
Lalbagh Road, Richmond Circle,
Bangalore-560027

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical)**

COMMON ORDER

1. The Company Petition was filed on behalf of the Petitioner Companies under Section 230 and 232 of the Companies Act, 2013 praying to order for sanctioning the Scheme of Amalgamation whereby HOMAG Machinery Bangalore Private Limited (Transferor Company) being merged with HOMAG India Private Limited (Transferee Company) so as to be binding on all the Shareholders and the secured and unsecured creditors, employees and all other relevant partiesof the Petitioner Companies.
2. The averments made in the Company Petitions are briefly described hereunder:-

   A. The Petitioner Companies seek an order for sanctioning the Scheme of AmalgamationofHomag Machinery Bangalore Private Limited (Transferor Company) with Homag India Private Limited (Transferee Company).The Scheme of Amalgamation is shown as **Annexure -A**.

   B. The TransferorCompany was incorporated on 27th May, 2011under the name and style "HOMAG Machinery Bangalore Private Limited" with Registrar of Companies, Karnataka vide CIN:U29220KA2011PTC058848. The Registered office of the Transferor Company is situated at#7/6, Veerananjipura Grama, Kasaba Hobli, Nelamangala TQ, Bengaluru Rural-562123.

   C. The Transferor Company's Objects as set out in its Memorandum of Association is inter alia to manufacture and assemble specialized machines used in cutting/sawing, panel production, drilling and mounting fittings, sizing, edgebanding, beam processing and also machinery used in production of structural elements, timber framing and such other associated tools, apparatus, equipments and applications which are automated or otherwise.The Copy of theMemorandum & Articles of Association of the Transferor Company is shown in **Annexure-B.**

   D. The authorized share capital of the Transferor Company as stated in the petition is Rs.28,00,00,000/- divided in to 2,80,00,000equity shares of Rs. 10/- each. Theissued subscribed and paid up share capital of Rs.28,00,00,000/- divided in to 2,80,00,000equity shares of Rs.10/- each fully paidup. The Copy of Audited Financials of the Transferor company as on 31st March, 2017 and is shown in**Annexure-D.**

E. The TransfereeCompanywas incorporated on29th November, 2004under the name and style as "HOMAG India Private Limited" with Registrar of Companies, Karnataka bearing CIN no. U29299KA2004PTC035110.The Registered office of the Transferee Company is situated at #88, Industrial Suburb, II Stage, Tumkur Road, Bengaluru-560022.

F. The Transferee Company's Objects as set out in its Memorandum of Association inter alia, as follows:

i. To carry on the business of trading, selling and servicing all kinds of machinery particularly wood working machines like through feed, hi-speed edge handing machines, CNC controlled machining centers, CNC controlled processing centers, profile wrapping machines, CNC cutting machines and all other kinds of machinery required for carrying on the business of wood working and metal working machinery.

The Copy of Certificate of Incorporation, Memorandum & Articles of Association of the TransfereeCompanyis shown in**Annexure-B.**

G. The authorized share capital of the Transferee Company as stated in the petition is Rs.33,00,00,000/- divided in to 3,30,00,000 equity shares of Rs. 10/- each. The issued subscribed and paid up share capital of Rs.31,25,11,010/- divided in to 3,12,51,101 equity shares of Rs.10/- each fully paid up.The Copy of Audited Financials of the Transferor company as on 31st March, 2017 and is shown in **Annexure-D.**

H. The Board of Directors of the Transferor Company and Transferee Companyhave approved and adopted the Scheme of Amalgamation at their meeting held on 8th September, 2017 and 11th September, 2017 respectively. The copies of Board Resolutionsare shown in **ANNEXURE – C in the respective Company Petitions.**

I. That the Transferor Company has filed Company Application (CAA) No.87/BB/2017 before this Tribunal for dispensationof the meetings of Equity Shareholders and Unsecured Trade Creditors of the Transferor Companyand the Transferee Company has filed Company Application (CAA) No.86/BB/2017 before this Tribunal for dispensation of the meetings of Equity Shareholders and Unsecured Trade Creditors of the Transferee Company. This Tribunal vide separate order dated 12th January, 2018 allowed the Application and dispensed with convening of meeting of Equity Shareholders & Unsecured Trade Creditors of the Transferor

Company and Transferee Company.The Copy of the Order of this Tribunal in CA(CAA) No.86/BB/2017 and CA(CAA)No.87/BB/2017 is shown as **Annexure- G.**

J. This Tribunal vide order dated 15.2.2018directed the Transferee Company to issue Notice to Regional Director, Ministry of Corporate Affairs, South-East Region, Registrar of Companies and Income Tax Authorities in CP(CAA) No.11/BB/2018 and to Official Liquidator in CP(CAA) No.10/BB/2018and also to have an advertisement of Notice of Petition be carried out in the '**The Hindu**', an English daily Newspaper and '**UdayaVani**'a Kannada daily Newspaper and stating the next date of hearing was on 28th March, 2018. In pursuant to the same the Counsel for the Petitioner Companies has filed an affidavit for having taken paper publication as directed and also has furnished the copy of the paper publication for having taken Advertisement in '**The Hindu**', an English daily Newspaper and '**UdayaVani**'a Kannada daily Newspaper.

3. The Registrar of Companies, Karnataka has vide letter no. ROCB/LEGAL/CP.CA(CAA) No. 10&11/BB/2018 dated 8.05.2018 furnished its report in the matter of the scheme of amalgamation stating as follows:

   a. The paid up share capital of the Transferor Company and the Transferee Company exceeds 5 crore and hence as per Section 203 of the Companies Act 2013 read with Rule 8A of Companies (Allotment and Remuneration) Rule, 2014 and the companies need to appoint a whole time Company Secretary.

      However after perusal of the MCA master date, neither of the companies has appointed the Company Secretary till date and violated the above said provisions which is punishable under Section 203(5) of the Companies Act, 2013.

   b. The authorized share capital of the Transferee Company is not sufficient to allot the shares to the shareholders of the transferor company. Transferee Company required to increase its authorized capital to issue shares to the shareholders of transferor company.

   c. At Clause No. 17.1 of the Scheme it was mentioned that the Authorized Capital of the Transferee Company as Rs. 33,00,00,000/-, in fact it shall be 33,00,00,000/-. Further it was mentioned that the transferee company not required to pay any fee/stamp duty for clubbing the authorized capital of the transferor company with it.

In this regard transferee company shall follow Section 232(3)(i) of the Act 2013 and has to pay the differential fee if any after setting off the fee already paid by the transferor company on its authorized capital.

d. There are no prosecutions, complaints, technical scrutiny/inspections are pending in this office against the petitioner companies.

4. The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 27th March, 2018 making some observations:

   1. That this office has been communicated by Regional Director, Ministry of Corporate Affairs, South East Region, Hyderabad, vide his Ref:F No 3/Karnataka/ Amal/ 862/ RD/(SER)/2017 dated 23.3.2018 stating therein that he being the competent authority on behalf of Central Government has examined the scheme with reference to the material papers made available to him. That the Directorate vide letter 3/Karnataka/Amal/862/RD(SER)/2017/5778 & 5779 dated 1.3.2018 requested the petitioner company to submit certain information and documents for the examination of petitions and for making appropriate representations thereon. However, the petitioner company has not furnished the requisite information and documents till 23.3.2018. A copy of the letter is enclosed. In view of the above, the Directorate is unable to provide its conclusive representations/comments on the Scheme.

5. The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 28th May, 2018 making some observations:

   1. That this office has been communicated by Regional Director, Ministry of Corporate Affairs, South East Region, Hyderabad, vide his Ref: F No 3/Karnataka/ Amal/ 862/ RD/(SER)/2017 dated 25.5.2018 stating therein that he being the competent authority on behalf of Central Government has examined the scheme with reference to the material papers made available to him and report of the ROC vide report no.ROCB/Legal/CP(CAA) No.10 & 11/2018 dated 8.5.2018 and the petitioner company's letter received on 23.3.2018 and it is observed that:

a. In Clause 18, the Method of Accounting under AS-14 is not mentioned. Reserves arising out of Amalgamations to be treated as "Capital Reserves", is not specified in the scheme and the same needs modification.

b. In Clause 17 of the Scheme the petitioner transferee company has sought complete waiver of the fee and stamp duty payable on account of consolidation of the authorized share capital of the transferor and transferee company which is not acceptable in view of the provisions of Section 232(3)(i) of the Companies Act, 2013. The Transferee Companyhas to pay the differential fee and stamp duty on the increase of authorized capital after setting off the fee if any paid by the transferor companies.

c. The entire shareholding of Transferor Company is held by foreign shareholders and hence the Transferee Company has to comply with the FEMA and RBI Regulations.

d. The borrowing limits of Transferor Company cannot be directly made applicable to Transferee Company. Hence, Clause 7.6 of the Scheme needs modification.

e. ROC's observation at para no.30(1) of his report dated 8.5.2018 regarding non appointment of Company Secretary be reported to NCLT. The petitioner companies be directed to make good the offence and file compounding applications before the scheme is approved by Hon'ble NCLT as the Transferor Company is to be dissolved without winding up.

f. The Transferee Company has not submitted the Auditors Report for the Balance Sheet as at 31.3.2017 despite query letter dated 1.3.2018, sent to the company.

g. The appointed date in the scheme is 1.4.2017. As per Section 232(6) of the Companies Act, 2013, the scheme under this section shall clearly indicate an appointed date from which it shall be effective and the scheme shall be deemed to be effective from such date and not at a date subsequent to the appointed date. Hence, Clause 5(c) of the scheme regarding 'Effective date' needs modification.

h. The scheme shall clearly provide as to payment of stamp duty payable on transfer of assets as per the applicable rates as per state Stamp Act/Laws by the Transferee Company.

6. The Authorized Signatory of the Petitioner Companies have filed Affidavit dated 20th June, 2018 in furnishing response to the same, which are as follows:

a. Clause 18 stipulates that the accounting will be on pooling of assets basis. As this is stated, this implies that specific accounting standard will be followed since the petitioner is duty bound to follow the accounting standards as prescribed by law. The petitioner under to follow the accounting standards as prescribed by law. The petitioner undertakes to follow AS 14 and treatment of reserves will be treated the way the accounting standards dictate and specific statement is not required to be put in the scheme.

b. That when one company amalgamates with another the authorized capital is available to be consolidated. There are a cantena of decisions permitting the said consolidation without payment of additional fees.

c. That the Petitioner undertakes to comply with FEMA and RBI regulations, which is bound to do as per law.

d. This clause states that the borrowings and the limits of the Transferor Company when amalgamated would be subsumed into the Transferee company and it does not mean that the approval of the Board or shareholders would not be taken.

e. That the Petitioner is a small private limited company and no company secretary is willing to be employed in such a small company. The petitioner is unable to find a prospective candidate to appoint as Company secretary. Since the Petitioner being Private Limited Company, the Professional exposure to the Company Secretary would be limited, hence the candidates are not coming forward for the post of Company secretary. However the company is willing and undertakes to appoint a Company Secretary at the earliest and file compounding application. Presently the Petitioner is being assisted by the Company Secretary on retainership.

f. The Transferee Company has submitted their auditors repor of the Transferee Companyi.e., of Homag India Pvt Ltd vide letter dated 4th June, 2018.

g. That as per Clause 5(b) appointed date has been defined which means the consolidation of accounts would be from the date. Clause 5(c) defines the effective date which would be from that date on which the order of NCLT sanctioning the Scheme is submitted to respective Registrar of Companies. Both have been defined properly and no change is required.

h. That the scheme is not required to mention the incidence or payment of stampduty in specific since all statutory obligations would be undertaken by the petitioners post amalgamation. Even otherwise Clause 19.5 and also Clause 27 takes care of the said concerns. The Petitioner undertakes to make payment of Stamp duty as applicable under existing law.

7. The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 28th May, 2018 making some observations:

1. That this office has been communicated by Regional Director, Ministry of Corporate Affairs, South East Region, Hyderabad, vide his Ref: F No 3/Karnataka/ Amal/ 862/ RD/(SER)/2017 dated 21.8.2018 stating therein that he being the competent authority on behalf of Central Government has examined the reply affidavit dated 20.06.2018 and letter dated 16.08.2018 of the petitioner company submitted in the directorate. In this regard it is observed that:

a. The petitioner company has agreed to comply with AS-14 and hence no further comments.

b. The petitioner transferee company has agreed to pay the differential fee and stamp duty on the increase of authorized capital after setting off the fee if any paid by the Transferor Company and hence no further comments.

c. The Transferee Company has agreed to comply with the FEMA and RBI Regulations and hence no further comments.

d. The petitioner Transferee Company has agreed to obtain necessary approvals of the Board and hence no further comments.

e. The Transferee Company shall undertake to make good the offence and file compounding application for non-appointment of Company Secretary and hence no further comments.

f. The Transferee Company has submitted the Auditors Report for the Balance Sheet as at 31/03/2017 and hence no further action is proposed.

g. The Petitioner Company has clarified that the "Appointed Date" and "Effective Date" in the scheme is 1.04.2017 and hence no further comments.

h. The Transferee Company has undertaken to pay the applicable stamp duty on transfer of assets and hence no further comments.

i. On examination of the petitioner companies' letter dated 16.08.2018, it is observed that the petitioner companies have not stated in its address mentioned on the letter head that it is its "Registered Office" address and hence is in violation of Sec. 12 of the Companies Act, 2013. Hence, the petitioner companies be directed to get the offence adjudicated u/Sec. 12 of the Companies Act, 2013 by filing application before Registrar of Companies, Bangalore.

8. The Authorized Signatory of the Petitioner Companies have filed reply Affidavit dated 31st August, 2018 in furnishing response to the additional affidavit on behalf of the Central Government, stating that:

i. For observation (a): need no comments.

ii. For observation (b): The Petitioner Transferee Company undertakes to pay the differential fee and the stamp duty on the increase of authorized share capital as per Section 232(3)(i) of Companies Act, 2013.

iii. For observation (c): need no comments.

iv. For observation (d): Petitioner Transferee Companyhas agreed to take necessary approvals of the Board and/or Shareholders as when required.

v. For observation (e): Petitioner Transferee Company undertakes to file the compounding application for non-appointment of company secretary.

vi. For observation (f): need no comments.

vii. For observation (g): Petitioner Transferee Company has clarified that the "Appointed Date" and the "Effective Date" of the scheme of amalgamation will be 01.04.2017.

viii. For observation (h): need no comments.

ix. For observation (i): Petitioner Companies undertakes to initiate adjudication under Section 12 of the Companies Act, 2013 by filing necessary application before Registrar of Companies.

9. The authorized signatories of the Petitioner Companies have the Petitioner Companies have filed reply Affidavit dated 10th October, 2018 in furnishing response to the report of the Registrar of Companies dated 8th May, 2018, stating that:
   a. For observation (1): That the Petitioner/Transferee Company herein reiterates the undertaking reply affidavit dated 31.08.2018 and undertakes to appoint Company Secretary and file compounding application as undertaken.
   b. For observation (2): That the Petitioner/Transferee Company undertakes to increase the authorized share capital in accordance with applicable law.
   c. For observation (3): That the Petitioner/Transferee Company undertakes to pay the differential fees and stamp duty on the increase of authorized share capital as per Section 232 (3)(i) of Companies Act, 2013 reiterating the undertaking affidavit dated 31.08.2018.

10. The Office of the Assistant Commissioner of Income Tax vide its representation F.No.Amal.Merg/DCIT-3(1)(2)/2018-19 dated 12th September, 2018 has stated that on verification, it is found from the record that there is no tax due to the Department in the case M/s Homag Machinery Bangalore Private Limited. The office has not objection to the amalgamation of the assessee M/s Homag Machinery Bangalore Private Limited (Transferor Company), subject to payment of any demands arising in the future.

11. On the prayer made by the Official Liquidator in OLR no.30/18 in CP (CAA) 10/BB/2017, vide order dated 28th March, 2018 M/s.Bhandari Pincha & Surana, Chartered Accountants was appointed by this Tribunal to scrutinize the Books of Accounts and records of Transferor Company. Upon Scrutiny of Books, records and other material made available by the Transferor Company to M/s.Bhandari Pincha & Surana, Chartered Accountants submitted the report.

12. Pursuant to the same, the Official Liquidator has filed a representationdated 18th April, 2018 in OLR.No.60/18 stating that M/s.Bhandari Pincha & Surana, Chartered Accountants has submitted Report dated 16.4.2018which is marked as **Annexure A**, wherein the Chartered Accountant has concluded in his report that:

i.) "We have obtained all the information and explanation, which to the best our knowledge and belief were necessary for the purpose of scrutiny of books and papers of Transferor Company.

ii.) In our opinion proper books of accounts, papers, statutory registers, minutes and other related records as required by law have been kept by the Transferor Company so far as appears from our examinations of those books and records".

iii.) On scrutiny of books of accounts, papers, statutory registers and other related records of the company we are of the opinion that the affairs of the company have not been conducted in a manner prejudicial to the interest of the members of the Company or public interest.

13. The Counsel for the Petitioner Companies have filed copy of Accounting Treatment Certificate**dated 19th October, 2017**of the Auditor stating that "Based on our examination and according to the information and explanations given to us we are of the opinion that the accounting treatment proposed in the scheme is in conformity with Accounting Standardas prescribed under section 133 of the Companies Act,2013 r/w rule7 of the Company (Accounts) Rules, 2014. The Auditors Certificate on Accounting Treatment is shown as **Annexure-F**.

14. After hearing the Counsel for the Petitioner Companies and considering the materials on record the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved.

THIS TRIBUNAL DO FURTHER ORDER

(1) While approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law; and

(2) The Whole of the property, rights and powers of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company for all the state and interest of the Petitioner/Transferor Company therein but subject nevertheless to all the charges now affecting the same; and

(3) All the liabilities including taxes and charges, if any, and duties of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company; and

(4) The tax implications, if any, arising out of the scheme is subject to final decision of Concerned Tax Authorities and the decision of the Concerned Tax Authorities shall be binding; and

(5) All the proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company, if any; and

(6) The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Amalgamation to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements & Amalgamations) Rules, 2016; and

(7) The Registrar of Companies before registration as stated to ensureCompliance of Petitioner's undertaking dated 21st July, 2018 as well as stamp duty as fixed by Inspector General of Registration and Commissioner of stamps. Registration of the scheme must be effected on ensuring the compliance of the above by Registrar of Companies; and

(8) The Registrar of Companies should oversee the following compliance by the Petitioner Companies before finally accepting the Scheme:

a. Ensure that the authorised capital of the Transferee Company is sufficient to allot shares to the shareholders of the Transferor Company. Further, that Resulting Company pays necessary fee and stamp duty on the increase of authorised share capital.

b. Ensure that the accounting treatment in the Scheme of Arrangement is in conformity with the accounting standards prescribed under Section 133 of the Companies Act, 2013.

c. Ensure that the Petitioner Companies comply with foreign exchange laws including law on Foreign Direct Investment issued by Reserve Bank of India and the Department of Industrial Promotion and Policy.

d. Ensure that there is no automatic enhancement of borrowing powers of the Transferee Company and that the Transferee Company shall pass necessary resolutions for increase of its borrowing powers under applicable law including Section 180 of Companies Act, 2013.

e. Ensure that a Company Secretary is appointed by both the Petitioner Companies and the offence is made good by filing compounding applications.

f. Ensure that the applicable stamp duty on transfer of assets is paid by the Transferee Company.

g. Ensure that the offence pointed out by the Regional Directorate under Section 12 of Companies Act, 2013 is adjudicated.

(9) The Petitioner Companies will ensure compliance of their undertaking dated 21st July, 2018, 31st August, 2018 and 10th October, 2018 and RoC to oversee the compliance with the respect to the undertakings; and

(10) The Appointed Date as mentioned in the Scheme of Amalgamation i.e. 1st April, 2017; and

(11) The Transferor Companyor its Authorized Signatories are directed that after the completion of the process of Amalgamation to handover the possession of the Books of Accounts and other relevant documents of the Transferor Company to the Transferee Company for the purpose of section 239 of the Companies Act, 2013.

(12) Any person shall be at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

ASHOK KUMAR MISHRA
(MEMBER, TECHNICAL)

RAJESWARA RAO VITTANALA
(MEMBER, JUDICIAL)

Sirisha